THE MASTERMIND COACHING CLASSES

CBSE / RBSE • NURSERY – CLASS XII • JAIPUR

Road No. 5, VKIA, Jaipur — 9887258679

CLASS 10 — SOCIAL SCIENCE · HARD LEVEL UNIT TEST SET 1

Chapters 18–22: **Development (Economics), Money and Credit (Economics), Globalisation and the Indian Economy (Economics), Consumer Rights (Economics), Sectors of the Indian Economy (Economics)** | RBSE Pattern | Session 2026–27

Time: 2 Hours Name: _____ Roll No.: _____ **Maximum Marks: 50**

General Instructions:

1. All questions are compulsory.
2. Q. 1–15 are Objective Type (1 mark each).
3. Q. 16–20 are Very Short Answer Type (2 marks each).
4. Q. 21–25 are Short Answer Type (3 marks each).
5. Q. 26–27 are Long Answer Type (5 marks each).
6. Internal choice is given in Q. 24–25 and Q. 26–27.
7. Write the question number before each answer.
8. Hard level: application and higher-order questions.

SECTION — A (Objective Type Questions) 15 × 1 = 15

Choose the correct option and write it in your answer book.

1. Assertion (A): Development cannot be judged by income alone. Reason (R): Money cannot buy a pollution-free environment or protection from infectious diseases without public facilities. 1

(a) Both A and R are true and R is the correct explanation of A.
(b) Both A and R are true but R is not the correct explanation of A.
(c) A is true but R is false.
(d) A is false but R is true.

2. What is the effect of higher interest rates on borrowing for investment? 1

(a) no effect
(b) borrowing becomes cheaper
(c) borrowing becomes costlier and may fall
(d) borrowing becomes free

3. Assertion (A): MNCs set up production in developing countries. Reason (R): Labour and other resources are cheaper there. 1

(a) Both A and R are true and R is the correct explanation of A.
(b) Both A and R are true but R is not the correct explanation of A.
(c) A is true but R is false.
(d) A is false but R is true.

4. Consider: (i) MRP is the maximum retail price; (ii) A seller may charge more than MRP; (iii) Expiry date shows validity of use. Which are correct? 1

(a) (i) and (iii) only
(b) all three
(c) (i) and (ii) only
(d) (ii) and (iii) only

5. A sugar mill in a village closes for lack of sugarcane. Which sectors are directly affected? 1

(a) Public sector only
(b) Tertiary only
(c) None of the sectors
(d) Primary and secondary

6. Which of the following, if falling, indicates improving health? 1

(a) literacy rate
(b) infant mortality rate
(c) life expectancy
(d) per capita income

7. Assertion (A): Self-Help Groups help the poor. Reason (R): Members save regularly and can borrow from the pooled savings at reasonable interest. 1

(a) Both A and R are true and R is the correct explanation of A.
(b) Both A and R are true but R is not the correct explanation of A.
(c) A is true but R is false.
(d) A is false but R is true.

8. Consider: (i) MNCs own production in more than one country; (ii) MNCs never invest abroad; (iii) MNCs buy local companies. Which are correct? 1

(a) (i) and (iii) only **(b)** (ii) and (iii) only
(c) all three **(d)** (i) and (ii) only

9. Why is a written guarantee or warranty card important to a consumer? 1

(a) It supports a claim for repair or replacement
(b) It replaces the bill
(c) It is a tax
(d) It reduces the price

10. An economy's primary, secondary and tertiary outputs are Rs 800 crore, Rs 1,200 crore and Rs 2,000 crore of final goods. The share of the secondary sector in GDP is: 1

(a) 20 per cent **(b)** 40 per cent **(c)** 30 per cent **(d)** 50 per cent

11. Assertion (A): Groundwater can be used without any limit. Reason (R): Groundwater is a renewable resource that is replenished by rainfall. 1

(a) Both A and R are true and R is the correct explanation of A.
(b) Both A and R are true but R is not the correct explanation of A.
(c) A is true but R is false.
(d) A is false but R is true.

12. Assertion (A): Banks earn a profit. Reason (R): The interest they pay on deposits is more than the interest they charge on loans. 1

(a) Both A and R are true and R is the correct explanation of A.
(b) Both A and R are true but R is not the correct explanation of A.
(c) A is true but R is false.
(d) A is false but R is true.

13. **Assertion (A):** Different persons can have different developmental goals. 1
Reason (R): What one person considers development may not be so for another, as they have different life situations and aspirations.
Choose the correct option:

(a) Both A and R are true and R is the correct explanation of A.
(b) Both A and R are true but R is not the correct explanation of A.
(c) A is true but R is false.
(d) A is false but R is true.

14. **Assertion (A):** Money eliminates the need for a double coincidence of wants. 1
Reason (R): Money acts as a medium of exchange, so a seller need only find a buyer and can then use the money to buy what he wants.
Choose the correct option:

(a) Both A and R are true and R is the correct explanation of A.
(b) Both A and R are true but R is not the correct explanation of A.
(c) A is true but R is false.
(d) A is false but R is true.

15. **Assertion (A):** MNCs set up their production units in countries where labour is cheap. 1
Reason (R): Low labour and other costs reduce the cost of production and help MNCs earn greater profits.
Choose the correct option:
(a) Both A and R are true and R is the correct explanation of A.
(b) Both A and R are true but R is not the correct explanation of A.
(c) A is true but R is false.
(d) A is false but R is true.

SECTION — B (Very Short Answer Type) 5 × 2 = 10

Answer in about 20–30 words each.

16. How can a state have both high income and poor human development? 2

17. Why is a debt trap more common with informal credit? 2

18. How can MNCs help the host economy? 2

19. How do adulterated goods affect the poor? 2

20. A farmer sells cotton worth Rs 10,000 to a mill, which sells cloth worth Rs 25,000 to a tailor, who sells garments worth Rs 40,000. Find the GDP contribution. 2

SECTION — C (Short Answer Type) 5 × 3 = 15

Answer in about 40–60 words each.

21. Why might the same dam be seen as development by some and not by others? 3

22. Why do SHG members repay regularly? 3

23. Explain how fragmenting production helps an MNC. 3

24. Explain how the 24 December observance can help in spreading awareness. 3

OR

A town has these activities: a wheat farm, a flour mill, a bakery, a delivery van. Place them in sectors and show the chain of dependence. 3

25. Analyse why the World Bank classification does not give full picture of development. 3

OR

Why is formal credit still limited in rural India? 3

SECTION — D (Long Answer Type) 2 × 5 = 10

Answer in about 100–150 words each.

26. **Case study.** A village has five families whose monthly incomes are Rs 8,000, Rs 12,000, Rs 10,000, Rs 6,000 and Rs 14,000. Another village also has five families but each family earns Rs 10,000. Villagers of both places think that they are developing, yet the first village has families earning much less than the second village's families. 5
(i) Find the average monthly income of the first village.
(ii) What is the average of the second village?
(iii) Can the averages tell us everything about the villages?
(iv) What do the averages hide?

27. Critically examine the impact of globalisation on the Indian economy. 5

OR

Critically examine the working of the consumer protection framework in India. 5

END OF QUESTION PAPER Total: 50 Marks